

Q1 2025

Custom Managed Portfolios

Beutel
Goodman
Conservative
Balanced

Quick facts

Asset class:
Balanced

Management style:
Income Balanced¹

Number of holdings:
53

Sub-advisor:
Beutel Goodman

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
October 01, 2003



What does the strategy invest in?

This strategy is designed to provide a higher yield by allocating its investments to bonds and dividend-paying equities. Its fixed income portfolio is designed to provide steady and stable levels of income and is concentrated in Provincial and Corporate issues to enhance yield carry.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	2.7%	2.7%	8.8%	3.9%	6.4%	4.7%	6.0%
Benchmark ⁵	1.4%	1.4%	10.1%	4.6%	5.7%	4.4%	5.4%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	7.1%	7.0%	-6.7%	8.5%	9.0%	10.2%	-0.3%
Benchmark ⁵	10.2%	8.8%	-10.1%	5.5%	9.3%	11.7%	-0.0%

Standard deviation	3.5%	Sortino ratio	1.76	Downside capture	75.6%
Sharpe ratio	1.23	Beta (Equity)	0.85	Upside capture	99.6%

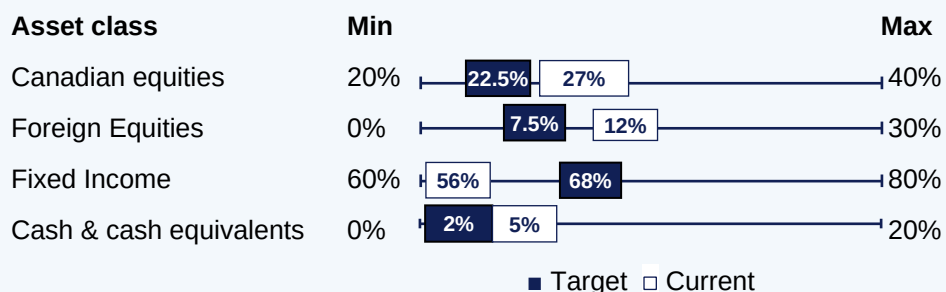
Largest holdings

1. CDA GOVT 3% 01JUN2034	7.9%	6. HYUNDAI CPTL 4.813% 01FEB27	3.4%
2. TD BK 4.68% 08JAN2029	5.2%	7. ROYAL BANK OF CDA	3.2%
3. PROV OF ONT 1.35% 02DEC30	4.4%	8. ALTA PROV 3.90% MTN 01DEC33	3.1%
4. ONT PROV 4.70% 02JUN37	3.7%	9. PROV BC OF 2.75% 18JUN2052	2.9%
5. TORONTO DOMINION BK	3.6%	10. RBC 1.67% SUB 28JAN33	2.8%

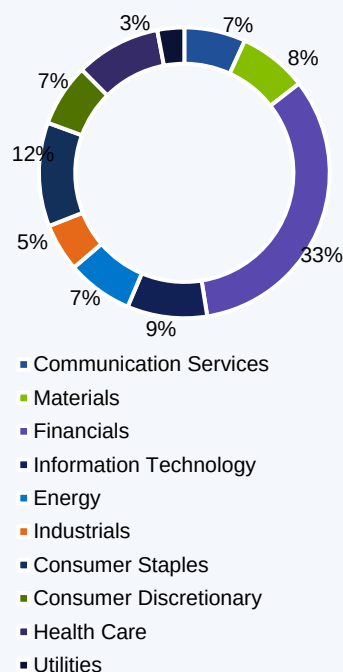
Portfolio attributes

Dividend yield	Portfolio Yield	Bond YTM	Average Credit Rating	Average Duration	Average market cap	Portfolio turnover
3.6%	3.5%	3.7%	A	7.35	82.13B	79.8%

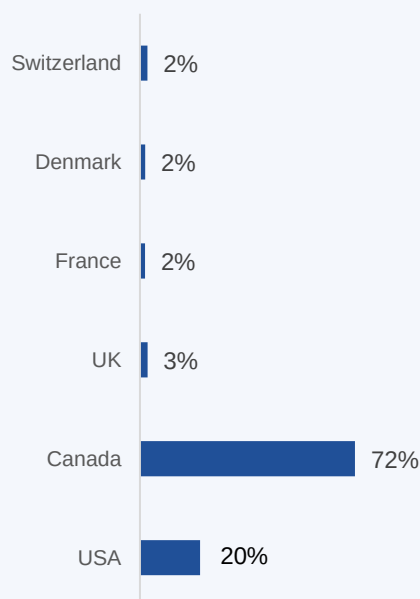
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

In a volatile quarter for global stocks, Canadian equities produced a positive return for the period. Soon after taking office, U.S. President Donald Trump ignited a global trade war, with stiff tariffs for many of America's main trading partners, including Canada. So far, the S&P/TSX Composite Index (TSX) has weathered the storm relatively well, boosted by the performance of its Materials sector; the S&P 500 Index did not fare as well, primarily due to a large decline in the share prices of Magnificent 7 stocks. The price of gold reached record highs during the quarter as investors gravitated towards the precious metal as a safe haven amid the growing uncertainty of the trade war. Canada's economy has continued to produce positive GDP growth, but the threat of an extended trade war with its main trading partner is a real concern. In response, the Bank of Canada continued its accommodative monetary policy, reducing its policy rate at both its January and March meetings, with a view to stimulating economic growth. The U.S. Federal Reserve (Fed), on the other hand, held rates steady for a second time, after rate reductions at three consecutive Fed meetings in 2024. The TSX returned 1.51% for the first quarter of the year, while the S&P 500 Index (C\$) saw a decline of 4.20%.

The FTSE Canada Universe Bond Index advanced by 2.02% on a total-return basis. The Federal and Municipal sectors outperformed the index, with returns of 2.25% and 2.13%, respectively. The Provincial and Corporate sectors underperformed the index returning 1.89% and 1.81%, respectively. Key sources of strength included stock selection in Consumer Staples, a combination of stock selection and an overweight in Health Care, and a combination of stock selection and an underweight in Information Technology. The main area of weakness was stock selection and an underweight in the Materials sector.

Contributors included Toronto-Dominion Bank and Carlsberg A/S. TD reported fiscal Q1/2025 results in February that came in higher than consensus due to better-than-feared results in its U.S. Retail segment, alongside higher-than-expected earnings out of its Canadian P&C, Insurance and Wealth, and Wholesale businesses, as well as better-than-expected credit costs. TD continues to be a story about incremental improvements, underpinned by irreplicable franchises in Canada, which is not fully appreciated by consensus or reflected at current valuations. After a negative market reaction to its acquisition of Britvic in 2024, Carlsberg finished 2024 with 2% revenue growth and its stock has performed well so far in 2025. While the outlook for 2025 is muted, with operating profit growth of 1%-5% expected, EBITDA was an all-time high in 2024, so the organic growth is incremental to record results. In addition, Britvic should increase the company's total profitability, and the synergies and deleveraging should further increase profits over the next few years. The most significant detractors were Magna International Inc. and Royal Bank of Canada. Magna was negatively impacted by tariff announcements under the new U.S. administration. Any tariffs would be disruptive to the production base of these sectors and to consumer demand through higher prices. The tariff situation continues to be fluid for Magna, with the biggest uncertainty the lack of clarity on government policy. RBC reported fiscal Q1/2025 earnings in February that were 11% higher than market consensus, with pre-tax-pre-provision profits posting solid growth and a broad-based beat across all its segments. While results were underpinned by strong revenue growth and positive operating leverage, RBC's provision for credit losses came in higher than consensus and saw higher impaired provisions across all of its segments. Additionally, new gross impaired loan formations spiked, ~50% of which was related to one specific outsized utility

credit. RBC's premium valuation to peers has narrowed somewhat and we continue to believe the bank is well positioned to weather volatility in the macro and geopolitical environment, while growing its industry-leading banking, wealth management and capital markets franchises.

Duration was a slight contributor due to the portfolio's tactical short duration position amid rising yields. Curve positioning was positive during the quarter due to the portfolio's underweight position in 30-year bonds, which underperformed during the period. Government security selection detracted during the quarter as long-term provincials, where the portfolio is overweight, underperformed short- and mid-term provincial bonds. Corporate security selection detracted value during the quarter due to the selection of senior bank bonds and energy bonds which underperformed.

It is an old adage that markets hate uncertainty and that has proven the case in the first quarter of 2025. After two consecutive years of strong returns in equity markets, a slowdown wasn't entirely unexpected, although the extent of the trade war has somewhat taken markets by surprise.

Trade brinksmanship was a common feature during the first Trump presidency, but ultimately the three North American nations were able to find common ground to sign the United States-Mexico-Canada Agreement (USMCA) in 2018, which replaced the longstanding North America Free Trade Agreement (NAFTA). It appears the terms of the USMCA will now likely need to be re-negotiated, with Canada also facing a federal election at the end of April. At this point, it is difficult to know if President Trump intends to dismantle the USMCA entirely or if the implementation of tariffs is part of ongoing trade negotiations.

The market is concerned about an economic downturn resulting from the tariff war; however, the U.S. and Canadian stock markets, and our portfolio specifically, are not the same as the respective economies. Our diversified portfolios are designed to be resilient through periods of economic uncertainty. Downside protection is a core component of our investment philosophy and for that reason, we remain confident in our ability to navigate through whatever choppy waters we may encounter going forward.

With respect to fixed income and the movement of interest rates, given the disparity between the current policy rates of the U.S. Federal Reserve and the Bank of Canada (BoC), there are limits to how much more the BoC can cut. Limits to further rate cuts may increase the need for fiscal stimulus. We believe that targeted fiscal stimulus, such as enhanced employment insurance and infrastructure spending, by both federal and provincial governments, would be an efficient way to counter the impact of tariffs and should be considered as the primary response. We note, however, that federal and provincial budget deficits are already at elevated levels following the increased fiscal spending from the COVID-19 crisis. Further increases in government deficits could lead to credit rating downgrades. Of note, two rating agencies recently downgraded the Province of British Columbia after its latest budget, which forecasts increasingly larger deficits (after running a series of surpluses prior to COVID-19). Nationally, the proposed removal of intra-provincial trade barriers and regulatory red tape could potentially help to mitigate some of the tariff impact on the Canada's economy.

Investment manager overview



Since 1967, Beutel Goodman has specialized in applying a value approach to the management of domestic and global equity, balanced and fixed income mandates for institutional and individual investors. Beutel Goodman operates as a private partnership through which 51% of the equity is owned by its operating principals. Affiliated Managers Group, Inc. (AMG), a publicly traded U.S. based asset management holding company, holds a minority 49% position. While Beutel Goodman's operating partners own 51% of the equity (in a voting trust), they have 100% operational autonomy and control of the firm.

Investment philosophy

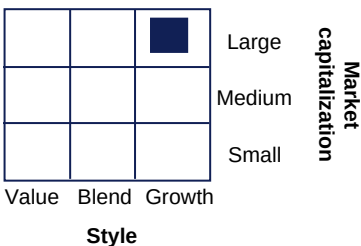
Beutel Goodman believes that successful bond investing requires a flexible policy and a multi-pronged approach to adding value. With respect to equity investing, Beutel views stocks as small pieces of businesses, and values companies based on their assessment of sustainable free cash flows. Beutel also believes that the relative bargains in stocks vs. bonds – measured by breadth and magnitude – can guide their asset mix decisions

Investment process and risk controls

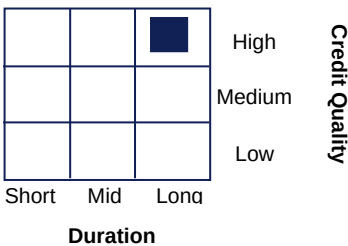
This mandate's focus is to provide a stable income stream with modest growth potential. Toward this end, Beutel Goodman will invest primarily in a variety of investment grade bonds, supplemented by a smaller component of stocks that they view as growing companies that represent good value. This income-oriented balanced portfolio will have the following characteristics and constraints:

- Investment grade bonds will account for at least 60% of this portfolio but not more than 80%.
- Of this bond component, corporate bonds are restricted to a minimum of 15% and a maximum of 65%.
- No more than 15% of the bond component can be invested in bonds rated lower than "A".
- The duration of the bond component will be within one and a half years of the duration of the FTSE TMX Bond Universe.
- Equity securities will account for at least 20% of this portfolio but no more than 40%.
- The equity component will be invested in 20 to 32 holdings and will be spread among at least six S&P/MSCI GICS sectors.
- The equity component's maximum weight in any sector is limited to 15% if the sector is less than 5% of the blended benchmark or 15% plus the sector weight in the blended benchmark if greater than 5% benchmark if greater than 5%.

Equity style²



Fixed Income style³



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Income Balanced - Risk adjusted balanced strategy with a focus on steady cash-flow

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025 . Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is 70% FTSE Canada Universe Bond Index; 22.5% S&P/TSX Composite TR Index; 7.5% S&P 500 TR Index (CAD)

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